

Multiple Choice (10 marks)

1. Stagflation occurs when
 - (a) the price level rises for two consecutive quarters
 - (b) the price level rises and output falls
 - (c) the price level stays the same and output increases
 - (d) the price level stays the same and output decreases
2. Which of the following lessens the impact of expansionary fiscal policy?
 - (a) An increase in the marginal propensity to consume.
 - (b) Lower interest rates that cause a decrease in net exports.
 - (c) Higher interest rates that cause an increase in net exports.
 - (d) Higher interest rates that decrease private investment.
3. Corn is exchanged in a competitive market. Which of the following definitely increases the equilibrium price of corn?
 - (a) Both supply and demand shift rightward.
 - (b) Both supply and demand shift leftward.
 - (c) Supply shifts to the right; demand shifts to the left.
 - (d) Supply shifts to the left; demand shifts to the right.
4. Production possibilities frontiers are concave to the origin because
 - (a) of inefficiencies in the economy.
 - (b) of opportunity cost.
 - (c) of the law of increasing costs.
 - (d) of constant opportunity costs.
5. If the economy is suffering from extremely high rates of inflation which of the following fiscal policies would be an appropriate strategy for the economy?
 - (a) Increase government spending and decrease taxes.
 - (b) Decrease government spending and increase taxes.
 - (c) Increase government spending with no change in taxes.
 - (d) The Federal Reserve increases the discount rate.

True / False (10 marks)

Answer True or False

6. True or False: In the United States, over the years, both V and Q have increased significantly.
7. True or False: A negative or contractionary supply shock will shift the Phillips curve to the left, resulting in lower inflation and unemployment.
8. True or False: The natural rate of unemployment includes structural and frictional unemployment.
9. True or False: Spending \$50.00 at a restaurant is classified as consumption (C) when calculating GDP.
10. True or False: A visit to the orthodontist is a public good because it provides benefits to the entire community without exclusion.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how an increase in U.S. exports affects the value of the dollar, and analyze the relationship between demand for dollars and currency valuation in this context.
12. Discuss the concept of fiat money and analyze how dollar bills serve as an example of this type of currency in today's economy.

End of Paper